Rajratan Global Wire Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: RAJRATAN · Report prepared 20 Aug 2026

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1 Snapshot

Rajratan makes **bead wire** — the copper-coated high-carbon steel wire hoop moulded into the inner rim of every tyre, which is what clamps the tyre onto the wheel. It is one product, made in three plants (Pithampur near Indore, Chennai, and Thailand), sold to tyre makers for cars, trucks, two-wheelers and off-road machines. It is the only bead wire maker in Thailand and, by its own count, holds 42–43% of the Indian market. Nothing else in the group matters yet.

Number (Q1 FY27 / FY26)	Value	What it means in plain words
Revenue, Jun-2026 quarter	₹194 cr, **+23%** YoY	Best quarter the company has ever had on the filed numbers. Demand is not the problem.
Operating profit, Jun-2026 quarter	₹28 cr, +17% YoY	Profit grew slower than sales, again. Operating margin 14% against 15% a year earlier.
Revenue, FY26 (full year)	₹722 cr, +22%	Four straight years of growth: ₹540 cr in FY22 to ₹722 cr now, up 34%.
Operating profit, FY26	₹94 cr	Down 14% from FY22's ₹109 cr — the company earns less operating profit today on a third more sales.
Operating margin, FY26	13% (was 20% in FY22)	Seven margin points gone in four years. Every extra rupee of sales now carries far less profit.
Net profit, FY26	₹45 cr (was ₹69 cr in FY22)	Down 35% while the business grew. Higher depreciation and interest on the new plants take the rest.
Volume, FY26	133,000 tonnes, +18%	Highest-ever tonnage. But FY22 to FY26 is only a 10% yearly volume growth rate against the 20% management promised in Oct 2022.
Borrowings / interest cost, FY26	₹276 cr / ₹24 cr	Debt is 3.2x the FY22 level. Interest now swallows 26 paise of every rupee of operating profit, versus 11 paise in FY22.
Return on capital employed, FY26	13% (was 34% in FY22)	The ₹240 cr Chennai plant and ₹70 cr steel-cord plant are in the capital base but not yet in the profit.

2 Concall coverage

Quarter	Call date	Transcript read?	What it added
Q4 FY22	21 Apr 2022	Yes	Peak-margin baseline; Chennai and Thailand expansions announced.
Q2 FY23	21 Oct 2022	Yes	The "20% volume CAGR for 3–5 years" promise. Chennai 50% built.
Q4 FY23	21 Apr 2023	Yes	The strategy pivot: "go full blast wherever we are getting contribution."
Q2 FY24	23 Oct 2023	Yes	Chinese competition in Thailand; chose volume over price.
Q4 FY24	22 Apr 2024	Yes	Chennai investment "complete", ~₹230–240 cr spent. Volume +16%, no revenue growth, EBITDA −21%, PAT −28%.
	22 Oct 2024	Yes	

Q2 FY25			FY25 guidance: 20% volume growth and 15–16% EBITDA margin. Market share 42%.
Q4 FY25	22 Apr 2025	Yes	Chennai lost ₹11–12 cr in FY25; target 20,000 t in FY26. Wire-rope project: 10,000 t, ~₹100 cr revenue.
Q2 FY26	31 Oct 2025	Yes	Best quarter to date; Chennai monthly profitable. Three-year vision: 180,000–200,000 t and ~₹2,000 cr.
Q4 FY26	22 Apr 2026	Yes — **newest transcript**	Record 133,000 t but Q4 EBITDA missed. Wire rope renamed steel cord. Market share admitted to have fallen to 35–37% and recovered.
Q1 FY27	Jul 2026	**No transcript exists**	Investor deck filed 24 Jul 2026 is the only source.

Honest note on coverage. Screener.in lists 39 concall entries for Rajratan, but only 9 carry a working transcript link — and all nine are April or October calls, i.e. the post-half-year and post-full-year calls. The Q1 and Q3 entries are labelled but the links are dead. For Q1 FY27 specifically, **no transcript exists publicly at all**: Screener shows the label with no link, and the company has filed only an investor presentation (24 July 2026). Everything said below about Q1 FY27 comes from that deck, not from a management Q&A, so nobody has been able to cross-examine these numbers.

Latest quarter highlights — Q1 FY27 (deck filed Jul 2026)

- **Highest-ever quarterly revenue.** ₹194 cr on the filed quarterly series, up 23% from ₹158 cr, beating the previous best of ₹190 cr (Sep 2025 quarter). Volume 33,300 tonnes, up 16% — India 19,710 t and Thailand 13,590 t, both up 16%.
- **Margin still did not expand.** Operating profit ₹28 cr against ₹24 cr, so the margin was 14% versus 15% a year earlier. Net profit ₹14 cr against ₹11 cr.
- **The deck tells a much better story than the filed numbers, and the two do not reconcile.** The deck claims revenue ₹318 cr (+29%), EBITDA ₹41.7 cr (**+35%**), PAT ₹23 cr (+70%) and margin *up* 55 basis points. The filed quarterly series gives ₹194 cr, ₹28 cr (+17%), ₹14 cr (+27%) and margin *down* about a point. Same 33,300 tonnes, two different rupee worlds — and the deck's figures run 1.56x the filed ones for Q1 FY26 but 1.64x for Q1 FY27, which is precisely what manufactures the growth-rate gap. The likeliest cause is the newly merged **Rajratan USA** entity, where management confirmed on the Q4 FY26 call that "the sales revenue includes the tariff" (a 50% US import duty) and that ~₹30 cr of its costs sit in the accounts for just six months of FY26 — a basis change that flatters the current year against an un-restated base. That explains part of the gap, not all of it. Excluding other income, as the deck states, explains almost none of it. Treat +35% as management's framing; +17% is the like-for-like read.
- **Chennai has turned the corner.** The deck states Chennai crossed break-even in the previous quarter and now contributes positively — against a ₹11–12 cr loss in FY25. Capacity is moving from 30,000 to 60,000 tonnes a year.
- **Chairman restates the volume-first choice.** "We continued to prioritise sales growth over short-term margins increase" — and calls the quarter validation of "our volume-led approach". This is the same sentence he has been writing since April 2023.
- **No Chennai tonnage, no steel-cord update, no order book in the deck.** For a quarter with no call, that is the information that is missing.

2c Business mix & capacity

Where the revenue comes from (Q1 FY27, per deck): India operations 61%, Thailand 35%. The remaining ~4% is not explained in the deck. On tonnage the split is India 59% / Thailand 41%.
Installed capacity: Pithampur (Indore) 72,000 tonnes a year of which 60,000 t is bead wire · Thailand 60,000 t, being debottlenecked by a further ~10% with no room left at that site · Chennai 30,000 t installed, doubling to 60,000 t by Q2 FY27 for a further ~₹25 cr. Separately, a 10,000 t steel-cord line at Pithampur (₹70 cr, ₹50 cr spent) starting trials in Q2 FY27.
Utilisation, FY26: Pithampur ~90% · Thailand ~90–91% (51,000 t sold) · Chennai 17,000 t for the year on 30,000 t capacity, so ~57% for the year, though it exited March 2026 at 85–90% (2,200–2,300 t a month). India's two plants together sold ~82,000 t, of which ~14,000 t was lower-margin black and other wire, not bead wire.
Exports: more than 9,000 tonnes shipped from India in FY26 (up ~250%), targeted at ~15,000 t in FY27; US revenue ₹118 cr in FY26. Total exports across both countries ran at 2,200–2,300 t a month as of Oct 2025.
Not disclosed — do not assume: exports as a single percentage of group revenue · Chennai's Q1 FY27 tonnage or profit · Thailand's full-year EBITDA margin (only Q4 FY26, ~10%, was given, after an on-call correction from 7.5%) · customer concentration · segment-wise EBITDA per tonne, which management declined to give: "very difficult to tell you what is EBITDA in USA market, what is EBITDA in Thailand."
One inconsistency worth flagging: management quotes realisations of ₹88,000–90,000 per tonne in India and ₹80,000–83,000 in Thailand, and says these went "beyond 90,000" in Q1 FY27. Reported revenue divided by reported tonnage gives roughly ₹54,000–58,000. The per-tonne figures quoted on calls are therefore on some other basis and should not be multiplied by tonnage to model

revenue. This is the same gap that makes the "₹2,000 cr on 200,000 tonnes" three-year vision arithmetically demanding: at FY26's realised rate, 200,000 tonnes is closer to ₹1,100 cr.

3 Earning-trigger thesis

Is there a real earnings trigger here?

Yes, and it is unusually easy to name: **Chennai**. A ₹240 cr plant that lost ₹11–12 cr in FY25 has crossed break-even, is being doubled to 60,000 tonnes, and is guided to sell 34–35,000 tonnes in FY27 against 17,000 in FY26. That swing alone is worth roughly ₹15–25 cr to operating profit, plus freight savings from sitting next to southern tyre plants, plus depreciation and interest that are already being paid whether the plant runs or not. Behind it sit exports (up ~250% from India in FY26) and a 10,000 t steel-cord line worth ~₹150 cr of revenue at ~20% margins from FY29. **But the trigger has to fight the company's own strategy.** Management has explicitly capped its own ambition at 13–14% margins, refuses to chase the old 18–20%, and says capacity across the industry "is much more than the demand". Four consecutive years prove the pattern: record volume arrives, absolute operating profit does not.

Trigger	What management said	Evidence so far	Time horizon	Strength
Chennai ramp to 60,000 t	Sell 34–35,000 t in FY27; capacity doubles by Q2 FY27; ₹25 cr to finish; "not fair to assume peak utilisation so soon" — peak FY28–29.	17,000 t in FY26 against a 20,000 t target. Exited March 2026 at 85–90%. Crossed break-even, now profitable. Q1 FY27 tonnage not disclosed.	FY27–FY29	**Strong** — the loss-to-profit swing is already banked and the capital is already spent.
Margin recovery to 13.5–14%	"You will see the margin coming back to 13%, 13.5% in the current quarter itself"; the Jan–Mar steel rise of ~₹10,000/t has been passed on.	Q1 FY27 operating margin 14% on the filed series — recovered from Q4's 9%, but still below the 15% of a year earlier. Raw material went 57% to 63% of sales in Q4.	Already visible	**Moderate** — recovery is real but only back to a level management itself calls the ceiling.
Export and US growth	+30% North America, ~+50% Europe, 10–15% Southeast Asia in FY27; India exports 9,000 t to 15,000 t; Japan "a new opportunity".	FY26 India exports up ~250%; US revenue ₹118 cr; European customers on regular supply for six months. Tariffs are Section 232, applied to all origins, so no relative disadvantage.	FY27–FY28	**Moderate** — volumes are real, but US sales carry 50% duty, longer credit and pushed debtor days to 95 from 60.
Steel cord for conveyor belts (10,000 t)	₹70 cr capex, ~₹150 cr peak revenue, ~20% EBITDA, peak by FY29; trials in Q2 FY27. "Not including bigger numbers of this product" in guidance.	₹50 cr spent. Zero revenue in FY26. Delayed by shed reconstruction. Global market only 70,000–80,000 t. Renamed from "wire rope" twice.	FY28–FY29	**Unproven** — a pilot with no customer, no approval and no sale yet, in a market smaller than the company's own capacity.
Thailand mix upgrade (cheap Chinese customers out, multinationals in)	Pranay Jain, Apr 2025: "targeting to hit the EBITDA level of 10% to 11%... I can vouch for it." Volume 51,000 to 55–56,000 t in FY27, no room to expand further.	Thailand Q4 FY26 EBITDA ~10%, down from 13.5% in Q2 FY26. Site is full at ~90%. New land in Ratchaburi mentioned in the deck but with no capex, size or date.	FY27–FY28	**Weak** — the margin promise was hit at the bottom of the range and then slipped; the plant cannot grow much.
Production-linked incentive on Chennai	8% of incremental sales, ₹40–50 cr over five years.	**Year-one and year-two production targets both missed.** "Nobody is giving assurance." Management excludes it from all projections.	Unknown	**Weak** — management has written it off itself; treat as zero.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Oct 2022	"Confident to deliver 20% CAGR in volumes over the next three to five years."	90,000 t in FY22 to 133,000 t in FY26 — a 10% yearly rate, half the promise. FY23 volume was flat outright.	**Missed**
Apr 2023	Strategy change: "this year we have decided to go full blast wherever we are getting contribution... to capture the bigger market share."	Followed to the letter for three years. Volume up 48% since; operating margin fell 19% to 13%. The strategy worked; the P&L consequence was exactly what it says on the tin.	**Delivered**
Apr 2024	Chennai investment "complete... this quarter we'll announce the commercial production also."	Commercial production did start, but Chennai then lost ₹11–12 cr in FY25 and only reached break-even in Q4 FY26 — two years after "complete". A further ₹25 cr is still being spent in FY27.	**Partly**
Oct 2024	FY25: "20% volume growth... and also maintaining EBITDA at 15%-16% for the year."	Volume came in around 112,000 t, roughly 8% growth, not 20%. Margin landed at 16% — the bottom of the range. The Chairman later conceded: "last year also I had said some number and I couldn't achieve that."	**Missed** on volume, **Delivered** on margin
Apr 2025	FY26: at least 15% volume growth, Chennai to produce 20,000 t, and "a little improvement in EBITDA percentage because of utilisation of Chennai facility".	Volume +18%, comfortably ahead. Chennai did 17,000 t, short of 20,000. Margin did not improve — it fell from 16% to 13%, with Q4 alone at 9%.	**Delivered** volume, **Missed** margin
Apr 2025	Chennai "will be able to breakeven from next quarter."	Monthly profitability reported by Oct 2025; the deck confirms break-even crossed in Q4 FY26 and positive contribution in Q1 FY27. Roughly two quarters late, but done.	**Delivered**
Apr 2025	Wire ropes: 10,000 t capacity, ~₹100 cr revenue, adding value to the existing 12,000 t of black wire. "Wire rope has better profitability."	Never happened as described. Zero wire-rope volume in FY26; black wire actually grew to 14,000 t and stayed unconverted. The project was re-labelled steel cord for conveyor belts, capex rose to ₹70 cr, revenue target to ₹150 cr, and peak pushed to FY29. Trials now Q2 FY27, delayed by a shed rebuild.	**Partly** / rescoped
Apr 2025	Thailand EBITDA margin of 10–11% in FY26 — "I can vouch for it."	Q4 FY26 came in around 10%, after having been 13.5% in Q2 FY26. Hit, then given back. Full-year Thailand margin never disclosed.	**Partly**
Oct 2025 → Apr 2026	Chennai Phase 2 "maximum ₹20 to 25 crores" for 60,000 t, machines arriving over a year.	Restated as ~₹25 cr in Apr 2026 with capacity live by Q2 FY27; some machines installed and running, rest in transit. On track.	**Delivered** so far
Oct 2025	Three-year vision: 180,000–200,000 t and a top line of ~₹2,000 cr.	FY26 is 133,000 t and ₹722 cr. The tonnage is plausible at 17–18% a year. The ₹2,000 cr is not, on FY26's realised revenue per tonne — it needs a measuring stick the reported accounts do not use.	Too early

Narrative drift. The strategic story has not drifted — it has been repeated almost word for word for three years, and that is genuinely to management's credit. Sunil Chordia in Apr 2026: "we don't want to lose our market share. As long as the product is giving us some contribution, we want to continue with our high market share." That is the same sentence as Apr 2023's "go full blast wherever we are getting contribution". He also opens bad quarters with the bad news unprompted — Q4 FY26's opening remark led with "we could not achieve the targeted EBITDA" — and volunteered that he had missed his own numbers before. Few small-cap chairmen do that.

Where the drift is real is in three places. **First, the numbers attached to the story keep sliding while the story stays fixed:** 20% volume CAGR became 10%; 20% growth in FY25 became 8%; margin "improvement" in FY26 became a three-point fall. **Second, one factual claim was quietly reversed.** Asked directly in Apr 2025 whether market share had shifted, the answer was "our market share did not decrease". A year later: share "has again reached to 42% to 43%, which had come down to 35% to 37%". A seven-point share loss was denied at the time and disclosed only after it had been recovered. **Third, the diversification project has been renamed twice** — wire rope, then steel cord for conveyor belt, with management eventually conceding "wire rope and steel cord are one" and that the real goal is to learn how to make wire rope later. That is a project whose description has moved more than its output. It has not vanished — ₹50 cr is in the ground and machines are installed — but three years after first being raised it has produced no revenue and its payoff now sits in FY29.

5 Bottom line

Durable earning trigger? → MAYBE

There is a specific, funded, measurable trigger, which is more than most companies offer: Chennai swinging from a ₹11–12 cr annual loss to profit while its tonnage roughly doubles from 17,000 to 34–35,000, on capital already spent and depreciation already being charged. That is worth real money in FY27–FY28. But the four-year record is unambiguous and it points the other way — sales up 34%, operating profit *down* 14%, margin down seven points, net profit down 35%, debt up 3.2x, and return on capital down from 34% to 13%. Even the record Q1 FY27 delivered operating profit growth of 17% on volume growth of 16%: no operating leverage at all, and margin still lower than a year earlier. Management has told investors plainly not to expect more than 13–14%, that industry capacity exceeds demand, and that freight savings from Chennai "will have to be passed on somewhere". So the trigger is real but bounded: it lifts profit back toward where it was in FY22–FY23, it does not compound. This flips to **YES** the first time a quarter shows operating profit growing meaningfully faster than tonnage — say a 15–16% margin with volume still rising. It flips to **NO** if Chennai reaches 35,000 tonnes and group margin is still 13%, because then the volume was bought and not earned.

Management consistent? → MAYBE

Consistent about strategy, unreliable about numbers. The volume-over-margin choice has been stated in the same words since April 2023 and executed without deviation; margin compression is the advertised cost of that choice, not a surprise, and the Chairman announces his own misses before analysts find them. That is a better disclosure culture than the sector average. But the guidance record is genuinely poor: the headline 20% volume CAGR came in at 10%, FY25's 20% volume guidance came in at 8%, FY26's promised margin improvement was a three-point decline, the PLI incentive was missed in two consecutive years and has now been written off, and the diversification project has been renamed and rescoped twice while slipping roughly four quarters and two financial years. Worse, the Apr 2025 denial that market share had fallen was contradicted by the Apr 2026 admission that it had dropped to 35–37% — an answer that was wrong when given. And the Q1 FY27 deck, filed with no accompanying call, presents +35% EBITDA and an improving margin where the filed quarterly series shows +17% and a falling one. Directionally you can trust what this management says it is trying to do. You cannot use its numbers as forecasts, and the one quarter with no call is exactly the quarter where the numbers flatter hardest.